

China Steel and Iron Ore Weekly Update

Key Takeaways

- Apparent consumption of long products declined 12.7% WoW, while that of flat products decreased 3.1% WoW.

Weekly output slipped for long products and flat products; inventory rose at traders and mills. Utilization rates inched up at electric arc furnaces (EAF).

Iron ore inventory grew at mills: Operating rates improved, along with daily output.

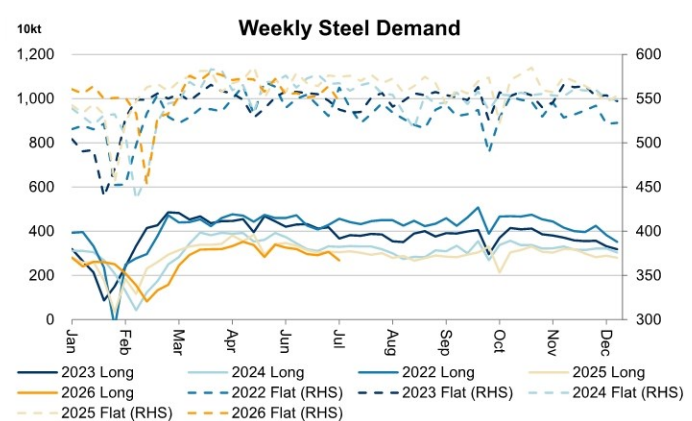
Iron ore shipments: Combined shipments from Australia and Brazil were down by 0.32Mt WoW for the period 15th June to 21st June. Shipments from Australia were up by 0.86Mt WoW. Shipments from Brazil were down by 1.18Mt WoW.

Exhibit 1: Weekly data summary

	Steel			Iron Ore		
	Volume (kt) / rate (%)	WoW	YoY	Volume (kt) / rate (%)	WoW	
Inventory - Traders	11,449	1.7%	26.3%	Inventory - Ports	156,720	-0.2%
Inventory - Mills	4,561	5.8%	5.2%	Inventory - Per Mill	238	5.6%
Weekly Consumption - Long	2,681	-12.7%	-12.2%	Operating rate	63.1%	0.3 ppts
Weekly Consumption - Flat	5,469	-3.1%	-4.8%	Average daily output	398.7	0.4%
Weekly Output - Long	2,997	-2.0%	-1.4%	Shipments - Australia		+0.86Mt
Weekly Output - Flat	5,593	-0.5%	-3.1%	Shipments - Brazil		-1.18Mt
Utilization - 247 mills	90.8%	0.5 ppts	(0.0 ppts)			
Utilization - EAF	64.5%	0.1 ppts	10.0 ppts			

Source: Mysteel, Morgan Stanley Research. Note: EAF = electric arc furnace.

Exhibit 2: Weekly steel demand



Source: Mysteel, Morgan Stanley Research

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GREATER CHINA MATERIALS

Asia Pacific

Industry View

Attractive

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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/25/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb16.56
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.59
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb46.51
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb7.13
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb182.28
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb58.15
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb60.48
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb50.21
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$20.64
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$14.27
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.07
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb10.45
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$7.01

Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.23
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb22.22
Tianshan Aluminum (002532.SZ)	O (03/19/2026)	Rmb11.62
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$8.62
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb55.95
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb8.80
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$7.75
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.49
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb18.41
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb12.25
China Jushi (600176.SS)	O (12/22/2020)	Rmb70.80
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$3.78
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$19.05
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$15.50
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb18.07
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb46.77
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$25.82
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb6.77
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb68.36
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$52.75
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb102.96
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb29.14
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$32.52
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb45.43
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$17.85
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb32.38
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.71
Shandong Gold Mining Co. Ltd (600547.SS)	O (04/23/2025)	Rmb23.93
Shandong Gold Mining Co. Ltd (1787.HK)	O (12/12/2024)	HK\$17.62
Shandong Nanshan Aluminium Co. (600219.SS)	O (11/30/2020)	Rmb4.29
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$41.42
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb64.64
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.28
Zhaojin Mining Industry (1818.HK)	O (06/21/2024)	HK\$16.68
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$92.95
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$28.04
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb25.92

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.